

Vocabulary

- Intestate: without a will.
- Testate: with a will.
- Administrative proceeding: to appoint a personal representation to administer intestate's estate
- Probate proceeding: to administer property of person who dies with a will
- Probate assets: in decedent's name alone that do not pass by operation of law and which Executor administers in accordance with the decedent's will.
- Operation of law: Property that passes automatically because of the way the property title is held.
- Issue: all persons who have descended from common ancestor ("Descendants")
- Distributees: Individuals who inherit property under intestate succession
- Beneficiaries: Everyone who receives a bequest – sometimes a legacy/devise under a will
- Residuary estate: balance of the testator's estate after all claims, taxes, and particular bequests

Intestacy Rules: EPTL

Order of Priority for appointment as Administrator: Surviving spouse, children, grandchildren

- Distribution:
 - Survived by spouse only (no kids/issue of kids), the surviving spouse takes the **whole estate**.
 - Spouse and 1+ children/issue, whether of the current marriage or an earlier marriage, **the surviving spouse takes \$50,000 + ½ residuary** (balance), the issue take the leftover **residuary** (divided equally). **But if** the estate < \$50,000, whole estate goes to the surviving spouse.
 - Children only, estate passes to the children in equal shares.
 - Children and the issue of predeceased children, estate passes to alive children & the issue of dead children by representation (per capita at each generation).
- Majority, the distribution is "**per stirpes**," (issue take as if parent were living), however in **New York**, **per capita at each generation** "by representation" (**unless** Will overrides).
- **Per capita at each generation** applies to will: (1) The property divided into as **many shares as there are people at the 1st generational level** where there are survivors (2) all living persons at the 1st generational level **take a share** (3) The shares of the deceased persons are **combined and then divided**.
- If intestate with no spouse/issue (1) **parents or surviving parent** (2) **issue of parents** (brothers, sisters, issue of deceased brothers and sisters) who take per capita at each generation. *Decedent's relatives of the half blood" are treated as if they were relatives of the whole blood.
- **A spouse may be disqualified from inheriting under intestacy/exempt PP set-aside: "DISMAL": Decree,¹ Invalid divorce,² Separation decree³ rendered against surviving spouse (does not apply to separation agreements unless specific language in agreement waiving one's rights under EPTL), marriage void as incestuous/bigamous or fraud, Abandonment/lack of support: survivor.**

¹ (divorce/annulment valid under New York),

² (surviving spouse outside of NY obtained divorce/annulment not recognized as valid under NY Law – but does not bar surviving spouse if deceased obtained it)

³ Does not bar spouse if the final decree was against deceased spouse

- New York has no slayer statute (prohibits inheritance by a person who murders someone from whom they stand to inherit) - assume surviving spouse is predeceased and drop their share to kids/next I line as distributees.

Adopted Children

- **Adopted children/ issue have full inheritance rights from the adopting family;** but no inheritance rights from natural parents/members of natural parents **except** where a child is adopted by the spouse of a natural parent (Mom remarries and new husband adopts child, the adoptee can inherit from adoptig parent and either adopting parent). If the kid dies, family has no natural rights.
- **If the adopted child is related to the decedent by both natural and adopted relationship, the child inherits under the natural relationship only** *unless* the decedent was the adopting parent then the child inherits under the adopting relationship only.
- Adopted out children do not take as members of class of natural family, unless adopted by a natural family member.

Inheritance Rights of a Nonmarital child A child born out of wedlock has full inheritance rights from mother and family, but inherits from natural father only if paternity is established by: **marriage** (after birth), **order of filiation** in paternity suit during father's lifetime, or father files **witness, acknowledged (notary) affidavit** of paternity with putative father registry, **or** after death paternity is established in a **probate proceeding** by support and father **open & notoriously acknowledges** the child as his own, or **blood genetic market test** + clear & convincing (only if DNA is rebutted).

- To be afterborn, child must be in gestation when testator dies.
- **Lifetime Gifts:** At CL, lifetime gift to a child was presumptively an advancement of his intestate share to be taken into account when distributing the estate at death, based on the presumption that parent would always want to treat his/her children equally. **New York rejects this rule, stating there is no advancement unless proved by a contemporaneous writing made @ the time of gift and signed by donor/donee.**
- At CL, lifetime gift to beneficiary named in donor's will (executed before gift made) was presumptively in partial or total satisfaction of the legacy to be applied against the amount to which the beneficiary was entitled under the Will. **NY has rejected, such a gift is not treated as a satisfaction of legacy unless proved by a contemporaneous writing @ time of the gift signed by donor/donee.**
- Disclaimer (taxes/creditors – but not Medicaid): **A beneficiary under a will or an intestate distributee can disclaim or renounce in whole or in part their interest in the decedent's estate**, and a disclaimer is considered to "predecease the spouse/testator".
 - With Court approval, the disclaimer can be made on a person's behalf by a guardian or by a holder of a durable power of attorney/decedent's personal representative.
 - Requires: in **writing, signed & acknowledged** (notary) and accompanied by an **affidavit** stating that **no consideration** was received (payment to disclaim) – unless court authorizes receipt of consideration for disclaimer, and **irrevocable**, and the disclaimer or renunciation must be **filed**

with the Surrogate's court within 9 mos after date of debt. However a disclaimer cannot screw up someone else's legitimate share (per stirpes, instead of per capita distribution).

Execution of Wills

- **Probate:** surrogate court proceeding where it is judicially determined that decedent died with a **validly executed will** and intestate **distributees** are determined (put on notice of will) and the **Executor is appointed** by Court to administer.
- **Due Execution:** Must be **18 y/o** + (1) **signed** by testator/testator's direction + presence⁴ (2) "**end thereof**" (3) T must **acknowledge** his earlier signature (any mark intended as signature, including X, may be guided by another) **in the presence** of each witness (4) **publish** the will ("declare last will & testament" + communicate such to witnesses) (5) **2 attesting witnesses** – simultaneous/presence of each other or testator not required and (6) **execution ceremony** within 30 days from when first witness signs.
 - Words following signature are **not given effect**, **except** it is invalid if **so material** that to give effect to that above signature and not what is below would defeat the testator's intention.
 - Must be contemporaneous transaction – **attesting witnesses must attest to Testator's signature** when testator signs/acknowledges his signature (can't sign after).
 - If witness predeceases testator, meet 6 part test – the burden is on the will proponent, if will is not self-proved, both attesting witnesses must testify as to facts. If one witness is unavailable, **one witness suffices**. If none are able to testify, **must prove 2 signatures: testator + 1 witness**.
 - **Attestation clause:** appears below T's signature line and above witness' signature lines, reciting all the elements of due execution is – **prima facie evidence** of the facts presented (not required) – useful if witness has a bad memory or hostile witness (to rebut).
 - **A self-proving affidavit:** witnesses sign a sworn statement in the presence of an attorney reciting all the statements they would have made if called to court (6 points).⁵
- **Codicil:** late amendment/supplement to a will executed with the same formalities.
- **Interested Witness statute** (to avoid fraud): the fact that a will beneficiary is an attesting witness never affects the validity of the will – **a bequest to a witness is void unless Supernumerary rule** (at least 3 witnesses and 2 were disinterested) would be an **intestate distributee** if no will, **subject to the "whichever is least rule"**: witness-beneficiary takes the lesser of will bequest or intestate share.
 - The will is still valid, but the provision's substance is altered. Only gifts under will trigger will state (so if names interest witness as executor, that provision is valid).
- **Foreign Wills Act:** a will is admissible to probate in New York if it was validly executed **under the law of the state** where it was executed (regardless of testator's domicile at the time) or **New York law** or law of the state where **testator was domiciled when will was executed** or at **death** ("END"). Once admitted, NY governs construction/application of provisions.

⁴ If proxy signature, person must also sign their name, cannot be counted as an attesting witness & shall affix her address (but failure to affix does not invalidate).

⁵ Usually signed at same time as the will. The affidavit is a substitute for live testimony of witnesses (Cf. Attestation clause). Admissible to probate on the strength of the sworn recitals in affidavit unless interested (distributee adversely affected by admission of a will to probate) party objects, then formal rules of proof of due execution apply – call to testify.

- **Holographic will** (T's handwriting that is signed, but without a witness) **Nuncupative will** are VOID in New York, except for members of the armed forces during **declared or undeclared war** (expires 1 year after discharge) or **mariners at sea** (expires after 3 years), **subject to FWA**.
- Intended beneficiaries have no cause of action against testator's lawyer for negligence, b/c no privity of K.

Revocation:

- By **subsequent testamentary instrument** executed with appropriate formalities (*6 part test) or by **physical act** (mutilation or anything done to signature showing intent to revoke) – requires **intent**.
- **By implication:** To the extent possible read the two instruments together, **the 2nd will is treated as a codicil** (amendment) revoking 1st will to the extent of inconsistent provisions. But if 2nd will is wholly inconsistent with the first the first will is revoked by implication.
- Revocation by physical act (by proxy): must be T's request, in T's presence, 2 witnesses (4 in room).
- **If will that was last seen in T's possession or control is not found after death, or is found mutilated, there is a presumption that T revoked by physical act.** Evidence is admissible to rebut the presumption if revocable will cannot be found/or is found damaged (attorney for safekeeping, accidental).
- **Changes:** In NY, **write a new will revoking the first one** or **codicil** to the first (not removing pages). Words added to will after signed/witnessed are disregarded; No Partial revocation by physical act in NY.
- A will that has been revoked by a later will containing a revocation clause CANNOT be "revived" simply by destroying the later will, it can only be revived if: **it was re-executed** (signed again by testator and two witnesses) or doctrine of **"republishing by codicil"** (testator validly executes codicil to first will making various changes). In New York, the no revival rule **also applies to codicils**.
- **Dependent Relative Revocation/Second best solution doctrine:** CL doctrine permitting a revocation to be disregarded when premised upon, conditioned upon, or dependent upon a **mistake of law as to the validity of another disposition** (mistaken belief that by revoking will 2, reviving will 1), effect would be to disregard the revocation of the second will (based on mistake of law) and permit its probate. If given a DRR question, argue both. Never apply unless disposition that results from disregarding 2nd revocation comes closer to doing what testator tried but failed to do (reviving 1st will) – but does not apply if totally different testamentary schemes, conventional intestacy rules apply).
- **Proof of lost wills statute:** must prove **due execution** and will was not revoked (overcome presumption arising from will's nonproduction, or revocation should be disregarded because of DRR). Clear and distinctly prove by two credible witnesses or copy/draft of will proved to be true & complete.
- Revoking a codicil does not revoke the entire will, provisions unchanged by codicil remain in effect.

Death of beneficiary during Testator's life

- **NY anti-lapse statute:** If a will beneficiary dies during the Testator's lifetime, the gift fails/ lapses, unless the gift is saved by the state's anti-lapse statute. In **New York:** the gift vests in the deceased beneficiary's issue who survive the testator **if:** (1) **predeceased beneficiary** was T's issue or T's brother/sister and predeceased **beneficiary leaves issue** who survive testator.
 - Anti-lapse statute provides for a substitute taker.
 - Conditional gifts are valid, "If he survives me" trumps anti-lapse.

- **NY CoA:** Even though son was adopted out b/c T named the son specifically, adopted out son's issue was allowed to take under the anti-lapse.
- **Lapse in Residuary gift/Surviving Beneficiaries Rule:** If a T's residuary estate is devised to 2+ persons and the gift to one of them fails/lapses for any reason and the anti-lapse statute does not apply, **the other residuary beneficiaries take the entire residuary estate in proportion to their interests in the residue, absent contrary provision in the will.** Anti-lapse statute trumps "surviving residuary beneficiaries" rule.
- **Class gifts rule:** if a will makes a gift to a group of persons generically described as a defined class and part of class dies first, the class members who survive the testator take (absent contrary provision in the gift). **Cf. if beneficiaries are individually named: goes to residuary estate** (not to the others), subject to the possible application of the anti-lapse statute (which trumps Class gifts rule).
- **Rule of Convenience:** class is closed (later born are excluded) @ time of distribution to the class must be made, subject to gestation principal (280 days from conception to birth). If gift of LE or income interest with a remainder to a class of beneficiaries, class closes at the Life T/income beneficiary death.
- **Simultaneous deaths: Under Uniform Simultaneous Death Act (USDA): If two persons die under circumstances such that there is insufficient evidence that they have died otherwise than simultaneously, the property of each is distributed as those he/she survived.** USDA/Jointly held: prevents operation of right of survivorship in cases of jointly held property (passes tenancy in common).
- Changes in testator's family after will is executed: In New York, marriage post-will execution does not affect validity, but may effect the dispositions under the will b/c NY law provides for a right of election.
- **If testator is divorced/marriage is annulled all gifts and fiduciary appointments in favor of the former spouse are revoked by operation of law** (read as though divorcee predeceased testator), **except:** appointments of former spouse as guardian of couple's children and if couple reconcile & remarry, all provisions in favor of the former spouse are restored (anti-lapse does not apply to wife).
- A spouse is disqualified from being an intestate distributee/elective share if final decree of separation against the spouse, but there is a different rule for inheritance under a will: **the final decree of divorce/annulment is the only thing to knock a spouse out under intestacy.** Statute does not apply to life insurance policy on dead spouse's life naming "my wife Wilma" b/c only applies to will (not K).
- **Child born/adopted after will executed:** No protection to children alive @ execution, the statute applies only to afterborn/after-adopted children unprovided for by any settlement and not mentioned/provided for in the will.
 - If 1+ children @ execution, and **no provision** for any children, afterborn child inherits **nothing** (equal footing with other children that existed). **If gifts** to other children, afterborn shares in the amount to the other children as if a **class gift**. If intent testator to make a **limited provision** only to testator's children living at time will was executed, afterborn takes his **intestate's share**.
 - If the testator has **no children** when will executed, then afterborn takes his **intestate's share**.
 - If children are given different amounts, the amounts are added together and divided by the # of children including afterborn and shared proportionally (not equally).
 - But if Testator takes out life insurance policy for C as beneficiary, C does not take share as pretermitted child (after-child can't be provided for by any other settlement).

- **Incorporation by reference – extrinsic document:** At CL/majority, terms of extrinsic document, not part of will, incorporated by reference if (1) document **in existence** when will was drafted (2) will shows an **intent** to incorporate the document (3) **extrinsic document is clearly identified** by language in the will. **No incorporation by reference in NY** – all must be formally executed.
- **Acts of independent significance doctrine/nontestamentary acts doctrine:** (lifetime acts with own purpose/motive, independent of testamentary purpose) acts after will is executed **are given full effect when distributions are made**, except title documents may be transferred only as by law (unless you refer to something vaguely).
- **Non-probate assets** (interests in property not subject to disposition under a will/not part of probate estate): property that a decedent owned solely in his name at the time of the death is disposed of pursuant to terms of the will and is referred to as the probate estate.
 - **Property passing by right of survivorship** (bank account, joint stock), property passing by **K⁶**, property held **in trust** (including irrevocable trust) – trust governs disposition of assets, property over which decedent held w/ power of appointment.
- **Classification of gifts** that can be made by a will:
 - **Gift:** “I devise my computer to my son John”
 - **Demonstrative legacy:** General amount from a specific source “\$5k from sale of IBM stock to D”
 - **General legacy:** “sum of \$5k to George”
 - **Residuary disposition:** “rest, residue, remainder of my estate to my brother Jim”
 - **Intestate property:** If a partial intestacy results b/c Will was poorly drafted, and will has no residuary clause – gift goes with partial intestacy (no anti-lapse).
- **Abatement:** If so many claims against estate, not enough assets to cover all gifts by will, gifts “abate” – not given effect so creditors can be paid. Absent provision in the will, reverse order. Items that qualify for estate tax marital deduction always abate last.
- **Specific gift of encumbered property** – no exoneration of liens: at CL, if testator made a specific bequest of property that was subject to a mortgage or other lien on which the testator was personally liable, then the beneficiary was entitled to have the lien exonerated (paid from residuary). By statute in NY: **liens on specifically devised property are not exonerated unless the will specifically directs exoneration**, donee takes subject to the note. General provisions for payment of debts don’t exonerate.
- **Ademption** (gift failure): **if a will makes a specific gift of property and the property cannot be found/testator doesn’t own it at death, the gift fails without regard to the testator’s probable intent**, except does not apply to general and demonstrative legacies. A **demonstrative legacy** will turn into a general legacy if there is no cash available from a specific designated source, assets will have to be sold to satisfy a demonstrative legacy if there is no cash in the estate or if the designated account is no longer in existence.
 - Statutory exceptions: **casualty insurance** proceeds for lost, damaged destroyed property (beneficiary takes insurance proceeds to the extent they are paid after death), **executory contract** (beneficiary gets sale proceeds which are paid after death), sale by guardian/conservator of **specifically bequeathed property** (beneficiary is entitled to receive the

⁶ Life insurance policy, EE benefits payable to beneficiary other than decedent/decedent’s estate, if paid to insured’s executor or insured’s estate, becomes a “probate asset”

money or property into which the proceeds from the sale or transfer can be placed). If you can't trace them, ademption applies *all must be after death, **if before T's death then ademption**.

- The reason the asset is not in the estate is irrelevant.
- **Bequests of shares of stock and other securities:** Gifts of shares of **stock** in **publicly** traded corporations (for ademption purposes) are general legacies **unless** T says "I give my stock in []" which evinces an intent to make a specific request, (2) **gifts of shares of stock in closely held** company are specific legacies and will adeem if they don't exist.
- **If a will is contractual** and the survivor breaches the contract by writing a will with **inconsistent provisions**, probate W's new will even though will 1 is written as a K (will laws control to this extent) and impose a constructive trust in favor of the original beneficiaries. *K joint will can be revoked by agreement of the parties while they are both alive (estate can't revoke K will on behalf of dead spouse).
- **NY's Negative Bequest Rule:** At CL/majority: if will does not make a complete distribution of the estate (resulting in partial intestacy) words of disinheritance in the will are ineffective (property passing by intestacy is governed by the intestacy statutes, not by decedent's will). **NY: words of disinheritance are given full effect even in partial intestacy**, treat N as if predeceased & son takes entire estate (p. 68).
- **Elective share statute:** entitles spouse to minimum share of decedent's estate: **the greater of \$50k or 1/3 of estate plus interest at 6% beginning 7 mos after issuance of letters testamentary to the executor or letters of administration to the administrator appointed by the court**. (Applies to the net estate after payment of debts but before payment of taxes).
- If decedent dies w/o will, surviving spouse's intestate share is always going to be larger than his/her elective share **unless Testamentary Substitutes** (amount subject to elective share: "augmented" or "elective share estate"): Almost all **nonprobate transfers** (except life insurance, irrevocable dispositions made before marriage, and irrevocable dispositions made more than one year before death) are testamentary substitutes: "LEG UP":
 - **Totten trust** (bank accounts), **survivorship estates** (incl. joint/survivor bank accounts on/after 9/1/66), **lifetime transfers** with strings attached (incl. irrevocable transfers made during marriage with retained LE on/after 9/1/92., **Employee pension**, **Gifts** made within 1 year of death (> \$12k annual gift tax exclusion, incl. gifts causa mortis even within \$12k), **US gov't bonds & POD arrangements**, **POA**: property over which decedent held a presently exercisable general power of appointment (but not general testamentary power).
- **Not testamentary substitutes** (don't affect elective share): "**LOGPIT**": **Life insurance** (payable to surviving spouse or third party), **1/2 qualified pension/profit sharing benefits**⁷, **Gifts** made within 1 year of death within 12k annual exclusion, **pre-marriage irrevocable** (gift to friend prior to marriage), **irrevocable transfers made more than one year before death** (transfers in which grantor did not retain power to revoke, invade, consume, or dispose of principal), **transfers** (irrevocable) within retained life estate made before 9/1/92 (and made during marriage).
- **In survivorship estates with deceased spouse and third party** (joint tenancy/survivor bank account): the **consideration furnish** test applies –surviving spouse has burden of proof re: amount of decedent's contributions to that asset acquisition or the amount in the joint bank account.

⁷ Benefits in qualified pension plan are not testamentary substitutes if the employee named a beneficiary before 9/1/92 and did not change beneficiary designation thereafter

- **Survivorship estates with surviving spouse** (JT, TbyE, joint bank account): half is a T-subt, doesn't matter which spouse furnished consideration), also: joint **bank accounts, certificates of deposit** with third parties, to the extent deposits were made before the marriage. **Under NY law, a deposit in a joint bank account is irrevocable** (gift) as to ½ amount deposited.
- To satisfy net elective share amount, **all beneficiaries contribute pro rata** (contributor – whoever is getting stuff) .
- **Elective share of trusts: Decedents' estates death pre- 9/1/94, the right to an elective share eliminated by elective share trust that giving surviving spouse a life estate** (income interest for life) as long as at least \$50k was outright to spouse. If sum of (i) outright dispositions of at least \$50k + (ii) trust principal greater than/equal to 1/3 elective share amount, surviving spouse has no right of election.
 - Life estates (terminable interests) no longer satisfy the elective share entitlement. This rule is not controlled by date of execution of will, but date of death.
- **Procedural rules: * General waiver** (for example in a premarital agreement) of all rights in a spouse's estate waives right to **elective share or intestate share, but not** to specific gifts made by the spouse's will, there must be an explicit waiver of such bequests.
- **Only the spouse of a decedent domiciled in NY at the time of death has a right of election, unless** will expressly states disposition of his RE property in NY is to be governed by NY law. Testator's net estate, against which NY elective share applies, includes the value of out-of-state real estate b/c even though NY does not adjudicate ownership of property, will govern will (ancillary proceeding out of state)
- **Exempt property set aside: "off the top – over and above the property passing to the spouse by will, intestate share, elective share"**: Car (< = \$15k, furniture/appliances/computers (<\$10k), animals/farm machinery (<\$15k), books/pictures/videos (< \$1k) for a total of \$56k.
- **Disqualifications from Elective Share** (and exempt property): **DISMAL**. Gifts/fiduciary appointments in favor of former spouse are revoked only if final **decree of divorce/annulment**, decree of separation disqualifies surviving spouse from filing for elective share but does not disqualify spouse from taking under decedent's will.

Will contents:

- **Testamentary capacity**: understand the **nature** of the act (he is writing a will), nature & approximate **value** of his property, the "**natural object of his bounty**" (family and loved ones) and understand the **dispositions** the gifts he was making.
- **Insane Delusion**: sane but for persistent belief in supposed facts which have no real existence except in T's perverted imagination. Facts are against all evidence, probability, and control and produce exercise of testamentary act.
- **Undue influence**: burden of proof on contestant to show: existence of **exertion of an influence**, effect of such influence was to **overpower the mind and will of testator**, and **product** is a will a gift in a will which would not have happened **but for that influence**. "Influence is not undue unless the free agency of the testator was destroyed such that the will is produced is essentially a will not of the testator, but of the one exerting the influence."
 - Not enough: **opportunity** to exert influence, **susceptibility** to influence b/c of age/influence, **unequal dispositions** is not enough.

- If a will makes a gift to one in a confidential relationship (lawyer), who was active in preparing the will = inference of undue influence satisfying will contestants' burden of proof if un rebutted.
- If will bequests to drafting attorney "**Putnam Scrutiny**" (automatic inquiry) to determine if gift was voluntary.
 - EPTL: If will names drafting attorney as executor, he must give **written disclosure to client that any person** (including child) could be named as executor, executor receives a **statutory commission**, and attorney is entitled to **legal fees** for representing the estate. **Client must sign & acknowledge with two witnesses**, effect of failure to comply with statute is that attorney will receive only ½ of statutory commission.
- **No contest (in terrorem clauses)** – if anyone objects to my will they will get nothing. **Majority: No contest clauses are given full effect unless court finds that the contest was brought in good faith with probable cause** (not frivolous designed to extract settlement). **But in New York**, the clause is given full effect **even if there was PC to challenge the will**, except no-contest clauses are fully enforceable if will contest is for **forgery** or that will was **revoked** by a later will (not physical act), provided surrogate court finds **PC** for contest/filed **on behalf** of infant/incompetent, construction proceeding to **construe** the will's terms, objection to **jurisdiction** of the court.
- **Powers of Appointment**: an authority created in or reserved by a person enabling that person to designate within limits prescribed by the creator of the power, **the persons who shall take the property and manner in which they take it** (allows one to look at facts in existence at later date when distributing property).
 - Donor (Creator). Donee (recipient). [Can be both]. Takers in default: person who takes the property if the donee fails to correctly exercise the power.
- **Classify**:
 - **General powers of appointment**: a donee can appoint to herself, to her creditors or her estate
 - **Special powers of appointment** (limited): Not herself and appointment limited to limited class.
 - **Presently exercisable power of appointment**: donee can exercise it right now/during lifetime
 - **General presently exercisable power** of appointment: is a T-sub, add value when calculating elective share, or if 3rd person/husband subtract it out).
 - Donee's creditors can reach generally presently exercisable power if donee can get to them.
 - **Testamentary power of appointment**: donee can appoint only by will.
- A general will provision exercises all POAs held by the donee unless the instrument creating the PoA called for a specific reference in the donee's will. Donor can create a limitation on presently exercisable power of appointment (e.g., not by will).
- If cannot exercise PoA, on her death, trustee distributes the principal of the trust property to will residuary estate or intestacy.
- Creditors of donor's estate cannot reach assets that are subject to power of appointment **unless** donor was **both** donor and donee and he exercises it **in favor of his estate**.